News Release
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S&P Global Flash Eurozone PMI®

Eurozone business activity continues to rise in August amid stronger manufacturing growth

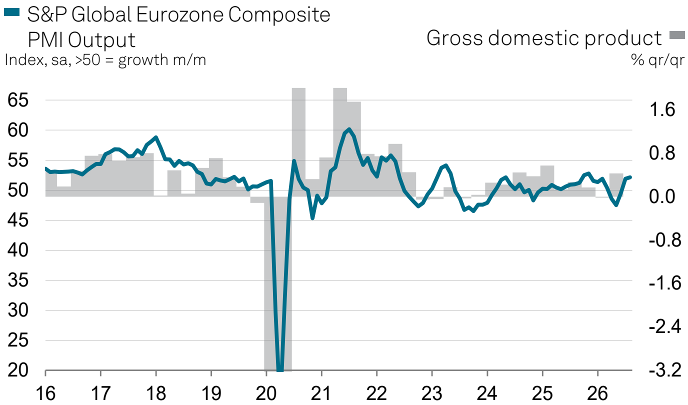
August 2026

Flash Eurozone PMI Composite Output Index: 52.1 (July: 52.0). 9-month high.

Flash Eurozone Services PMI Business Activity Index: 51.7 (July: 51.7). Unchanged pace of growth.

Flash Eurozone Manufacturing Output Index: 53.4 (July: 52.9). 54-month high.

Flash Eurozone Manufacturing PMI: 52.8 (July: 51.9). 51-month high.



Data were collected 10-19 August 2026.
Sources: S&P Global PMI, Eurostat via S&P Global Market Intelligence. © 2026 S&P Global

Growth of business activity in the eurozone was sustained in August, according to provisional PMI® survey data from S&P Global, boosted by a stronger expansion in the manufacturing sector. Alongside the increase in output, a further rise in new orders was also recorded, amid a first expansion in new export business in four-and-a-half years. Firms also took on extra staff, while there were further signs of easing inflationary pressures.

Despite the improved picture during the month, business confidence softened and remained relatively muted.

Output and demand

The seasonally adjusted S&P Global Flash Eurozone Composite PMI Output Index, based on approximately 85% of usual survey responses, ticked up to 52.1 in August from 52.0 in July, signalling a second consecutive monthly expansion in business activity across the private sector. The rate of growth was slightly quicker than that seen in the previous month, and the strongest overall since last November.

The pick-up in the rate of expansion reflected a solid and accelerated rise in manufacturing production, with the latest increase the fastest in four-and-a-half years. In fact, the headline manufacturing PMI – a weighted average of five key sub-indices – rose to 52.8, its highest since May 2022. The improved manufacturing growth picture was in large part centred on Germany, where production rose at the fastest pace since January 2022.

Eurozone services activity, meanwhile, increased modestly, with the pace of expansion unchanged from that seen in July.

Overall, business activity in Germany rose modestly in August, while France posted a further decline. The rest of the euro area as a whole registered the fastest expansion since April 2022.

Comment

Chris Williamson, Chief Business Economist at S&P Global Market Intelligence:

"A sustained solid rise in business activity in August sets the eurozone up for a robust increase in third quarter GDP of around 0.3%. The manufacturing sector is again the star performer, enjoying its strongest growth for four-and-a-half years, with the services economy providing a supporting role, notching up another month of decent growth after the malaise seen in the second quarter.

"We are again seeing reports of precautionary stock building helping support the goods-producing sector amid the ongoing supply chain disruptions emanating out of the Middle East, with supply chain delays again remaining worryingly widespread in August. However, there are also encouraging signs of rising demand for AI-related tech goods and rising equipment demand thanks to higher defence spending, notably helping Germany in particular achieve increasingly impressive production gains.

"In the service sector, rising tourism spending is helping boost economic growth, notably outside of France and Germany, where the region collectively saw the fastest services growth for over three years.

"Although high prices reportedly continue to dampen demand, price pressures have shown signs of further easing. Policymakers will be especially encouraged to see services selling price inflation back down to the joint-lowest so far this year (alongside March), with goods price inflation also continuing to moderate. However, with the flash PMI signalling solid third quarter GDP growth, a return to hiring by companies for the first time this year, and inflation remaining elevated by historical standards, a hawkish bias is likely to be maintained and further imminent rate hikes cannot be ruled out."

In line with the picture for business activity, new orders increased modestly again in August, with the rate of expansion quickening slightly to a 40-month high. Total inflows of new business were supported by a renewed expansion of new export orders (which include intra-eurozone trade). Here, growth was recorded for the first time in four-and-a-half years. A rise in manufacturing exports was accompanied by stability in the service sector.

Employment

With output and new orders rising, companies in the eurozone added to workforce numbers in August, the first time an increase in employment has been registered in 2026 so far. Service providers upped their rate of job creation during the month, while manufacturing employment increased fractionally, ending a 38-month sequence of job shedding. Staffing levels in Germany stabilised in August, while employment in France continued to fall. Overall job creation was thus centred on the rest of the eurozone.

Inventories and supply chains

Alongside a renewed increase in employment, manufacturers in the eurozone also posted a rise in purchasing activity midway through the third quarter of the year. Input buying expanded slightly, and for the first time in three months.

Stocks of inputs continued to fall, however, as purchased items were often used to support production. Sharply lengthening suppliers' delivery times also hindered the ability of firms to replenish stocks. Meanwhile, inventories of finished goods also decreased in August, and to the largest extent since March.

Prices

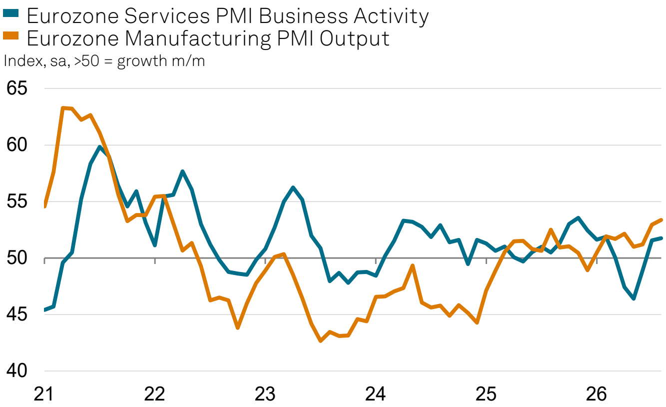
The rate of input cost inflation eased to the weakest since February, but remained sharp and was still some way above that seen prior to the outbreak of war in the Middle East. Manufacturing input costs increased at the slowest pace in six months, but services posted a slightly steeper increase than in July.

Output prices also rose at a slower pace in August, with the rate of inflation easing for a third consecutive month to the weakest since March. Here, slower increases were seen across both the manufacturing and service sectors. Underlying data showed that the easing of output price inflation was centred on Germany, where charges increased at the weakest pace in five months. Rates of increase ticked up in France and across the rest of the eurozone as a whole.

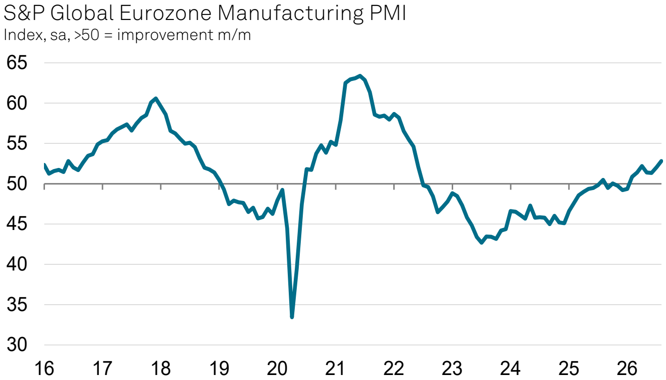
Outlook

Despite the generally improved picture signalled by the flash PMI data in August, confidence among companies in the eurozone softened slightly during the month. Sentiment regarding the year-ahead outlook for output eased to a three-month low and was weaker than the series average.

Confidence waned in the service sector, but improved to a six-month high in manufacturing. A more optimistic outlook in Germany contrasted with weaker sentiment in France and across the rest of the euro area as a whole.



Source: S&P Global PMI. ©2026 S&P Global.



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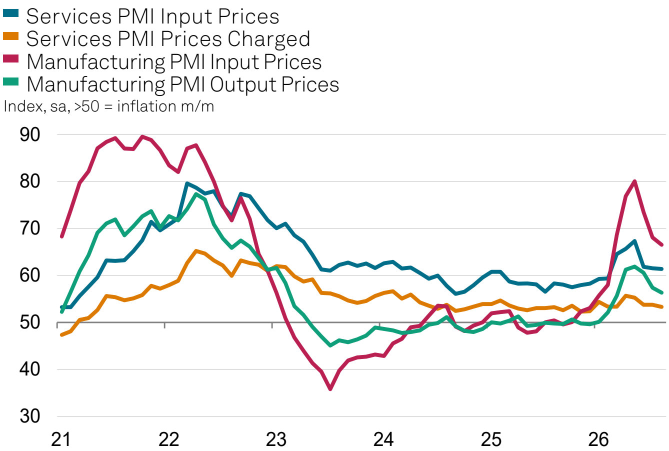

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Contact

Chris Williamson
Chief Business Economist
S&P Global Market Intelligence
T: +44-779-5555-061
chris.williamson@spglobal.com

Andrew Harker
Economics Director
S&P Global Market Intelligence
T: +44-1491-461-016
andrew.harker@spglobal.com

Hannah Brook
EMEA Corporate Communications
S&P Global Market Intelligence
T: +44-7483-439-812
hannah.brook@spglobal.com
press.mi@spglobal.com

Methodology

Final August data are published on 1 September for manufacturing and 3 September for services and composite indicators.

The S&P Global Flash Eurozone Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of manufacturers in Germany, France, Italy, Spain, the Netherlands, Austria, Ireland and Greece, and of service providers in Germany, France, Italy, Spain and Ireland, totalling around 5000 companies. The panels are each stratified by detailed sector and company workforce size, based on contributions to GDP. The services sector is defined as consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. The following variables are monitored:

Manufacturing: Output, new orders, new export orders, backlogs of work, stocks of finished goods, employment, quantity of purchases, suppliers' delivery times, stocks of purchases, input prices, output prices, future output.

Services: Business activity, new business, new export business, outstanding business, employment, input prices, prices charged, future activity.

A diffusion index is calculated for each manufacturing and services variable, at the national level. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Eurozone manufacturing and services indices are calculated by weighting together the national indices. National weights are calculated from annual manufacturing or services value added sourced from Eurostat.

Eurozone composite indices for are calculated by weighting together comparable Eurozone manufacturing and services indices using official eurozone manufacturing and services annual value added sourced from Eurostat.

The headline figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline manufacturing figure is the Manufacturing Purchasing Managers' Index™ (PMI®). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

Flash data are calculated from around 80-90% of total responses and are intended to provide an accurate early indication of the final data. Since flash data were first processed, the average differences between final and flash index values for the headline indices are:

Composite Output Index = 0.1 (absolute difference 0.3)

Services Business Activity Index = -0.1 (absolute difference 0.3)

Manufacturing PMI = 0.0 (absolute difference 0.2)

S&P Global do not revise underlying survey data after first publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series. Historical data relating to the underlying (unadjusted) numbers, first published seasonally adjusted series and subsequently revised data are available to subscribers from S&P Global.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

S&P Global

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PMI by S&P Global

Purchasing Managers' Index™ (PMI®) surveys are now available for over 40 countries and also for key regions including the eurozone. They are the most closely watched business surveys in the world, favoured by central banks, financial markets and business decision makers for their ability to provide up-to-date, accurate and often unique monthly indicators of economic trends. www.spglobal.com

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